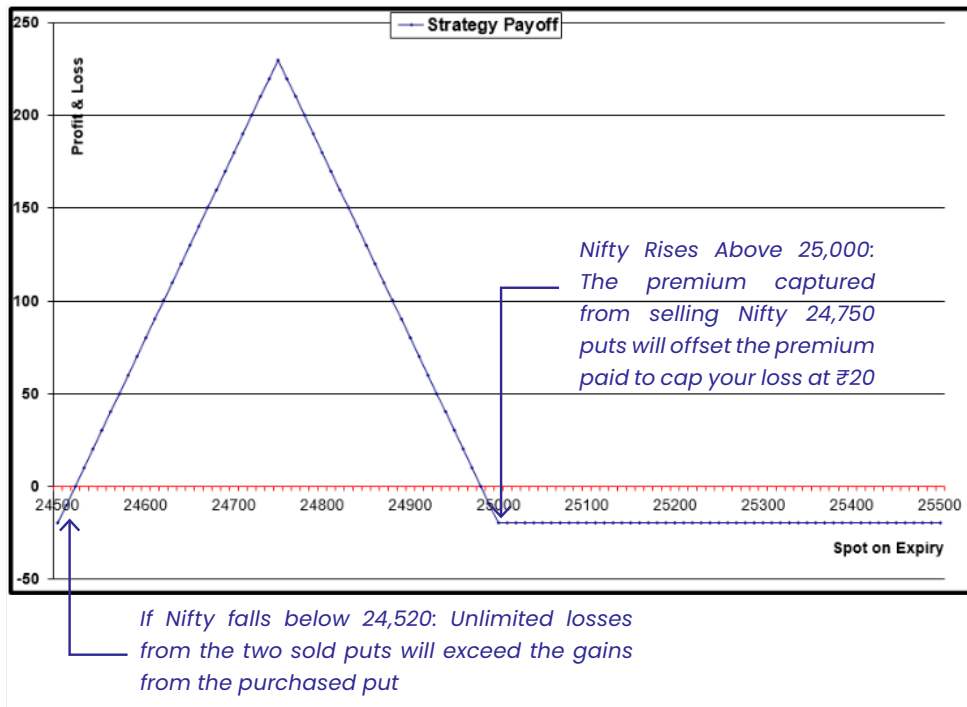




4.2.3 Bear put ladder spread

A bear put ladder spread involves buying one ATM or slightly ITM put and selling two puts with one OTM and one further OTM strike price. **This strategy creates a range for maximum profit.** However, it introduces unlimited risk if the market moves significantly downward.

Buy

One ITM Call Option



Less
Premium
Paid

Sell

Two distinct OTM Call Option



Premium
Received

Reward is within a range, risk is limitless